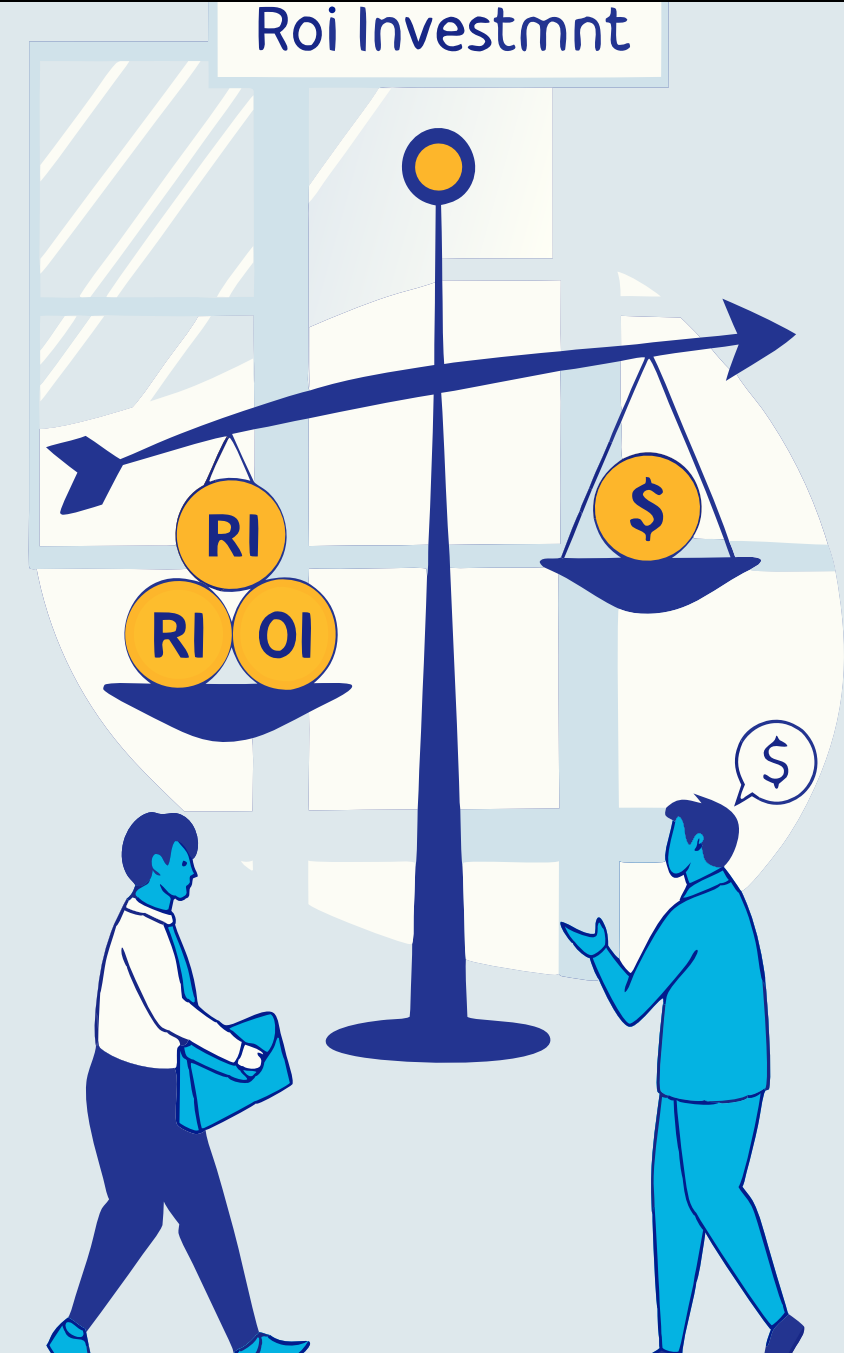


Normalized ROI Approach: Fairness, Comparability, and Privacy

Our application implements a normalized and relative approach to ROI to ensure fairness, comparability, and privacy, moving away from requiring users to disclose sensitive financial data. Instead of raw currency, the system uses dimensionless proxies and relative scoring to calculate a "Value Score".

This innovative approach allows us to compare diverse ideas across different domains while respecting confidentiality concerns. By translating qualitative user inputs into standardized metrics, we create a level playing field for all contributors while maintaining strategic alignment with organizational priorities.





User Input: Value and Effort Points

The foundation of our ROI system begins with user-provided inputs across two key dimensions that balance impact against required resources.



Value Points

Contributors select bands (A, B, C, D) for various impact dimensions like revenue impact, cost savings, customer NPS lift, or risk reduction. Each dimension has predefined qualitative bands with weights reflecting leadership priorities.



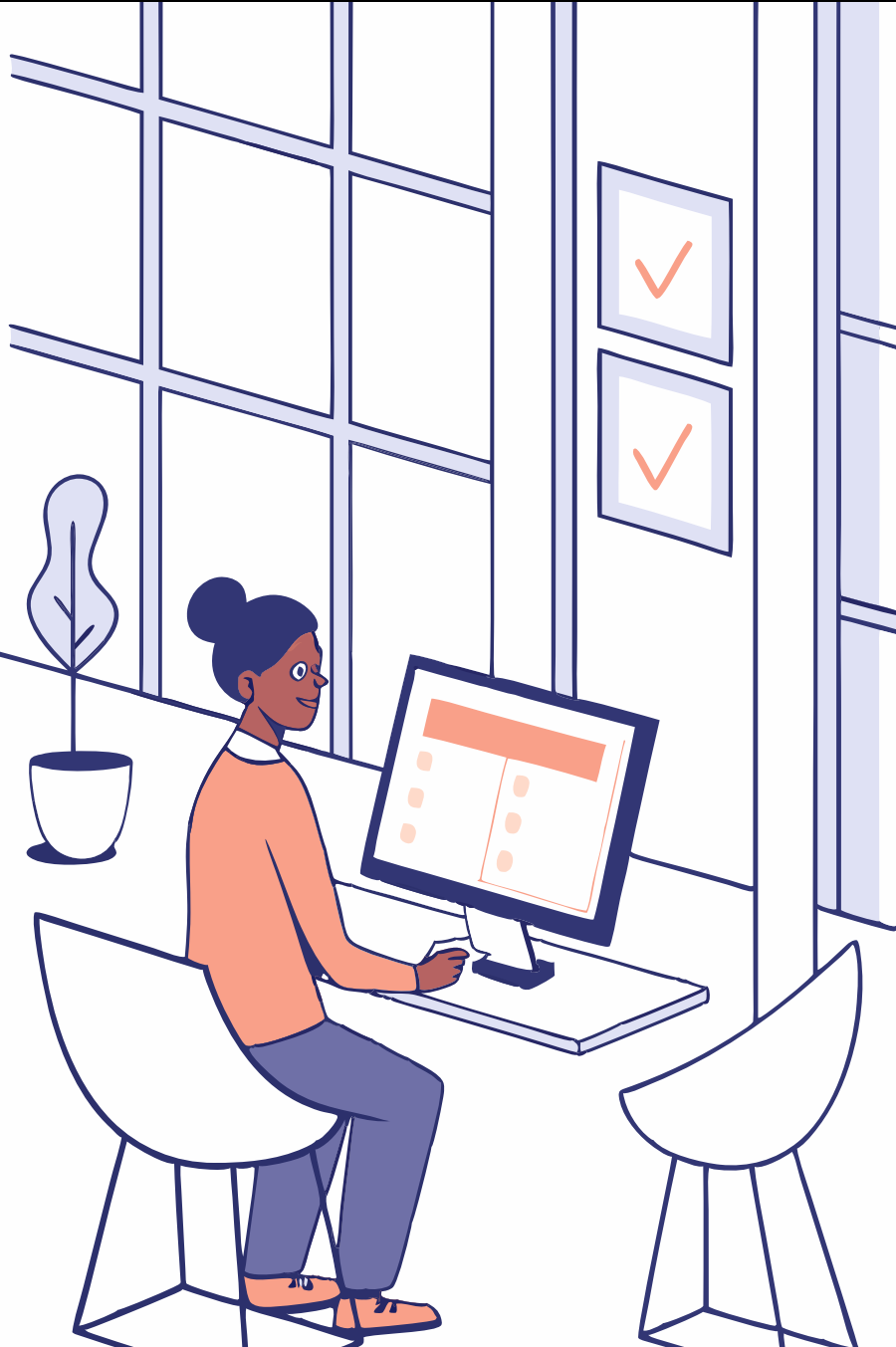
Effort Points

Users estimate required effort using a story-point-like scale (XS, S, M, L, XL), where each size corresponds to a numerical value (e.g., XS=1, S=3).



Privacy Protection

The bands are qualitative to avoid users exposing confidential financial details while still capturing the relative magnitude of impact.





Calculating the Relative ROI Index

Once user inputs are collected, our system calculates a standardized metric that balances value against effort in a consistent way across all ideas.



Collect Inputs

Gather value band selections and effort point estimates from users



Apply Formula

$$\text{ROI_index} = \text{Sum}(\text{ValueBandScore} \times \text{Weight}) \div \text{EffortPoints}$$



Generate Index

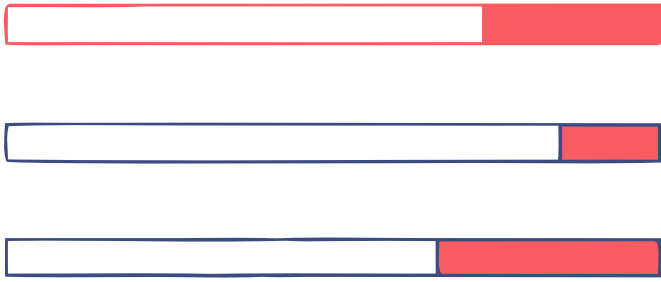
Create a dimensionless ROI metric that can be compared across different idea types

The ValueBandScore (typically 1-4 corresponding to bands A-D) for each dimension is multiplied by its predefined weight, summed up, and then divided by the EffortPoints to create a balanced measure of return versus investment.

Net Profit

● COST OF INVESTMENT
● ROI





Anchoring to Reference Ideas

To provide meaningful context for the ROI_index values, our system uses calibrated reference ideas that serve as benchmarks for comparison.

Pre-defined Examples

Each category includes reference ideas with known ROI_index values (e.g., "Automate monthly invoice PDF upload" might have an ROI_index of 2.0)

Comparative Feedback

During evaluation, the UI shows how an idea compares to these benchmarks (e.g., "Your idea beats 70% of reference ideas")

Contextual Understanding

References help users and reviewers understand the relative value of an idea within its specific domain

These reference points create a shared understanding of what constitutes high, medium, and low ROI within each category, making abstract numbers more meaningful to all stakeholders.



Normalizing into a 0-100 Value Score

To create a single, comparable metric across all types of ideas, we convert the ROI_index into a standardized Value Score ranging from 0 to 100.

Collect Historical Data

Gather ROI_index values for all ideas over a rolling 12-month period to establish a comprehensive dataset

Calculate Percentile Rank

Determine where each idea's ROI_index falls within the distribution of all ideas using the formula:
$$\text{ValueScore} = \text{Percentile}(\text{ROI_index})$$

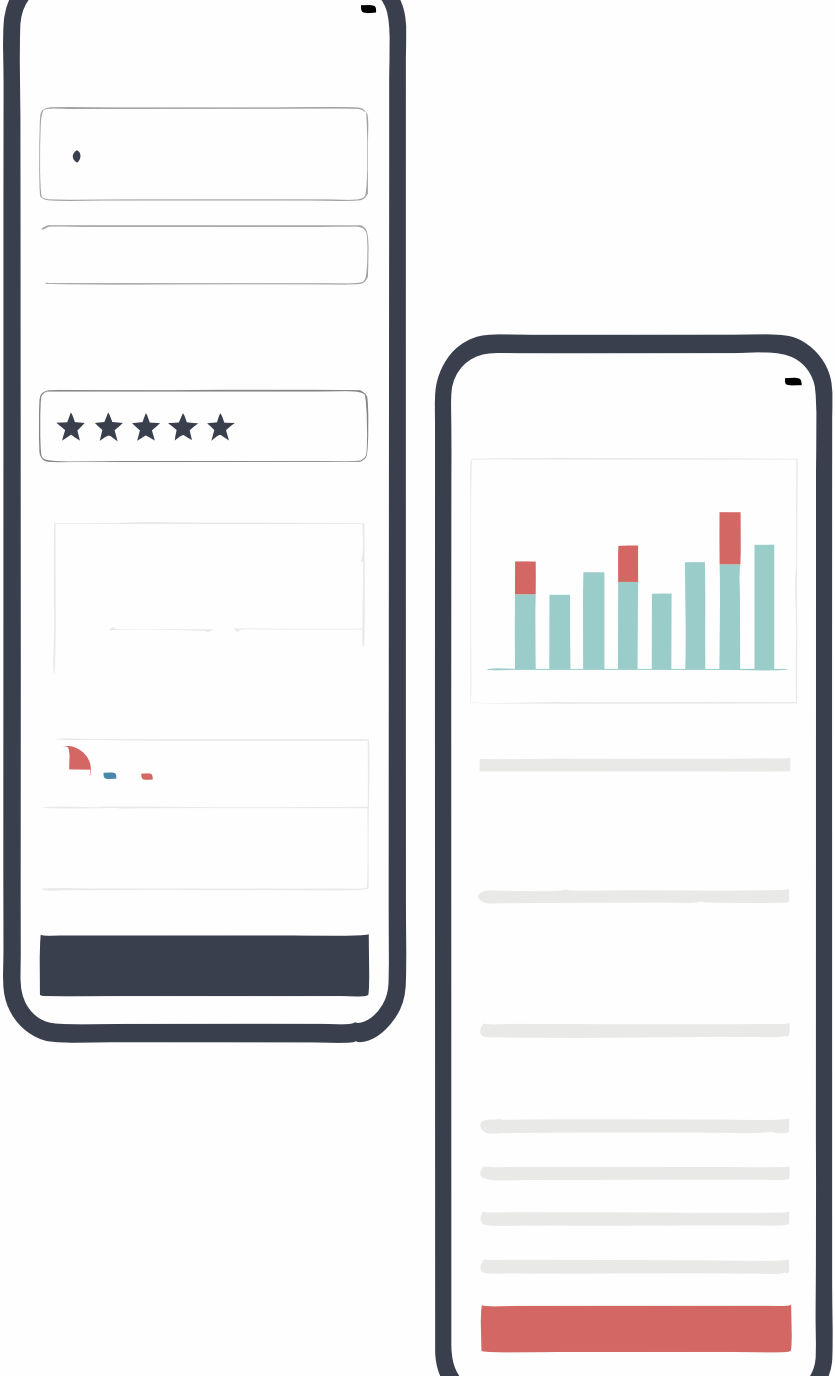
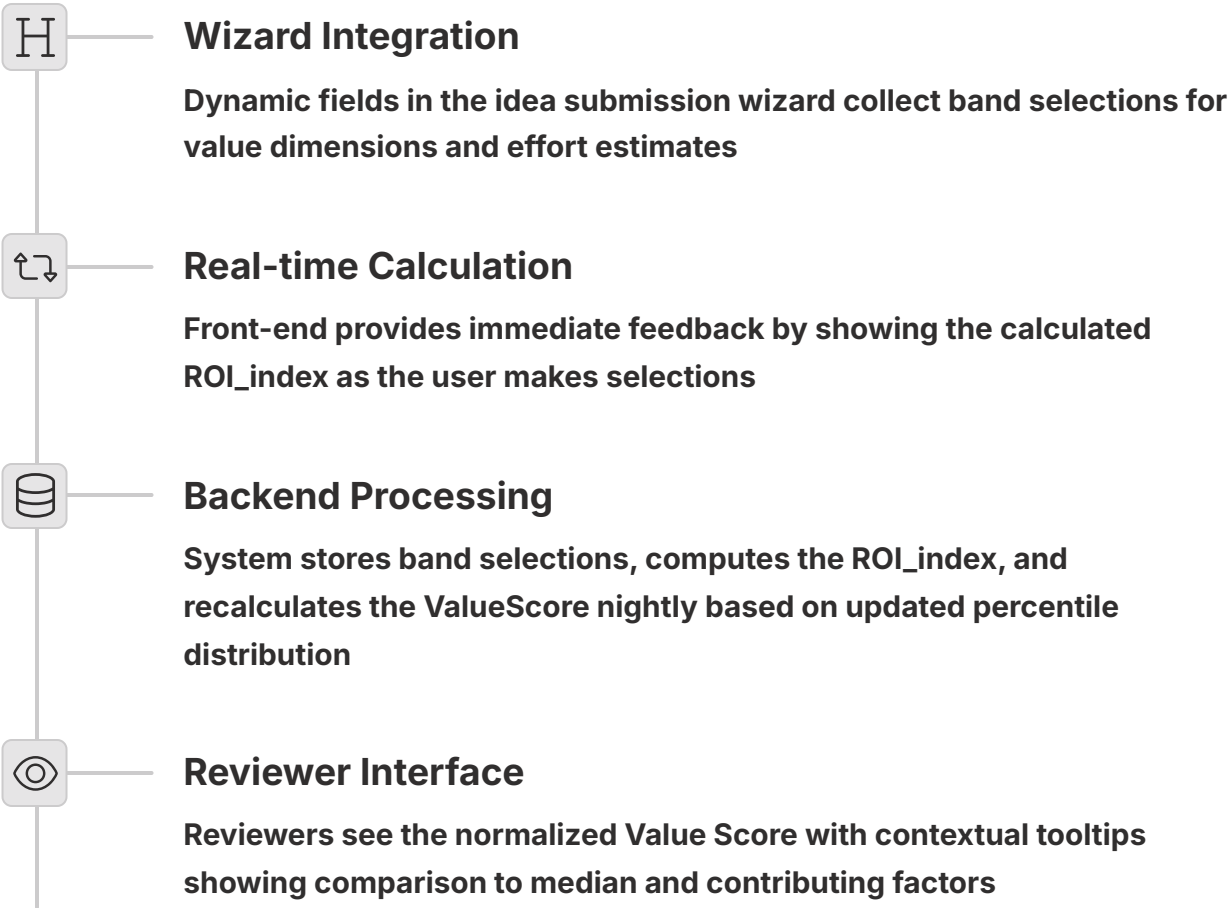
Assign Final Score

An idea at the top of the ROI_index distribution receives a Value Score near 100, while a median idea scores around 50

This normalization process creates an intuitive scale that allows for fair comparison across different types of initiatives while maintaining the relative value relationships within the portfolio.

Integration and Usage

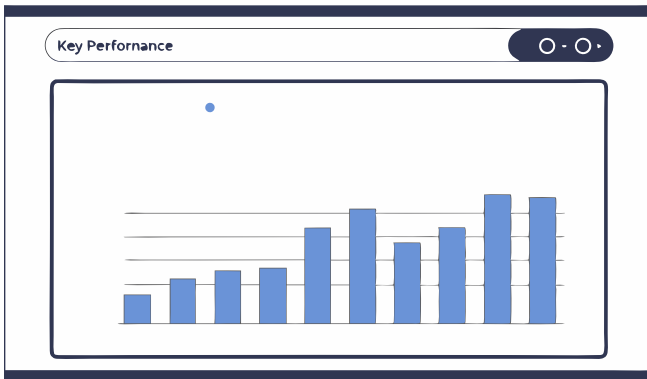
Our ROI calculation system is seamlessly integrated into the idea submission and review workflow, providing real-time feedback and comprehensive evaluation tools.





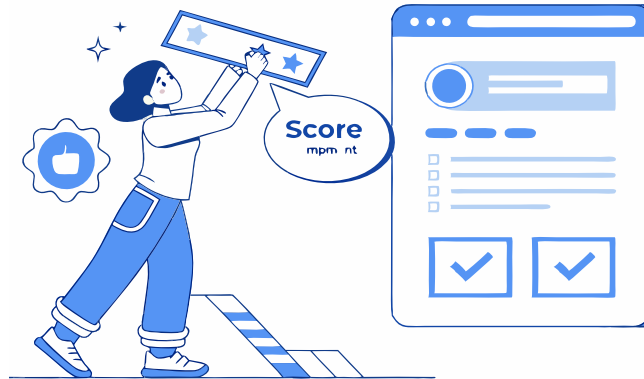
What Reviewers See

Our system presents reviewers with clear, contextual information that facilitates informed decision-making without requiring deep financial analysis.



Normalized Value Score

Reviewers see the standardized score (e.g., "ValueScore 82/100") rather than absolute or abstract financial figures, allowing for quick comparison across diverse ideas.



Contextual Tooltips

Interactive elements provide additional context, such as how the idea compares to the median for its category and the specific band selections that contributed to its score.



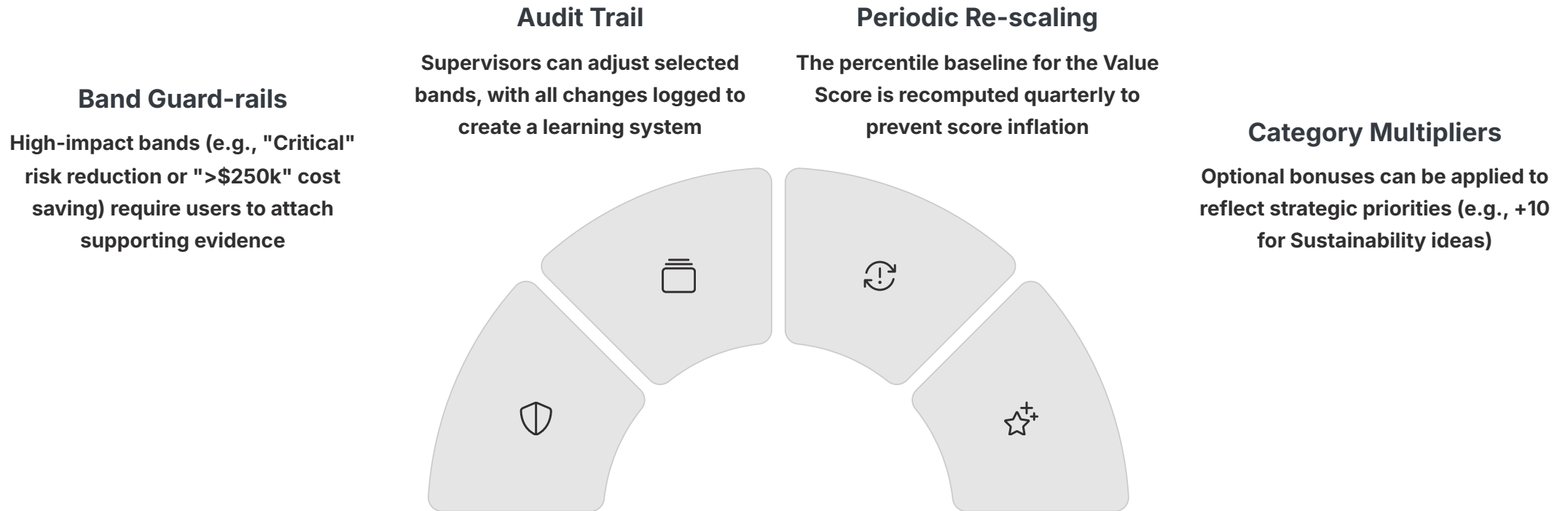
Strategic Focus

This presentation allows supervisors to focus on relative ranking and strategic alignment rather than getting lost in financial details or abstract metrics.



Minimizing Gaming and Bias

To maintain the integrity of our Value Score system, we've implemented several safeguards that prevent manipulation while ensuring fair evaluation across all ideas.



These mechanisms work together to create a system that is both flexible enough to accommodate diverse ideas and structured enough to resist manipulation, ensuring that the Value Score remains a trusted metric for decision-making.